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Report Highlights:

Uruguayan soybean production in marketing year (MY) 2025/26 is forecast at 3.1 million metric tons (MMT), slightly below the previous year's record harvest due to a modest reduction in planted area as farmers shift some acreage back to corn. Despite this, soybean remains Uruguay's leading summer crop, buoyed by strong yields and stable export demand, particularly from China. Domestic crushing remains limited, with just under 10 percent of total production processed locally, primarily at a single large facility. Crush is forecast to increase slightly to 170,000 MT, generating 135,000 MT of soymeal and 30,000 MT of soybean oil, most of which will be consumed domestically in the modest livestock industries. Uruguay continues to export the bulk of its soybean production as whole beans, with China and Argentina as top markets, while importing soymeal and oil to meet domestic feed and food industry needs.

SOYBEANS

MY2025/26

Production

Post forecasts Uruguayan soybean production to remain relatively stable in marketing year (MY) 2025/26, with a modest decline in area planted due to a partial return to corn. The area dedicated to soybeans is forecast at 1.3 million hectares (HA), down slightly from the previous year but still a four percent increase over earlier years. Production is expected to total 3.1 million metric tons (MMT), based on average yields and a return to typical weather patterns. No La Niña event is currently anticipated.

Soy area is projected to contract marginally as corn regains favor following a year of limited planting due to widespread concern over the leafhopper pest (locally known as *chicharrita*), which had previously decimated corn yields. A colder-than-usual winter in 2024, effective pest control, and low trap counts suggest a low risk of corn stunt disease in the coming season, prompting producers to increase corn acreage at the expense of soybeans.

Figure 1. Soybeans in Soriano Department



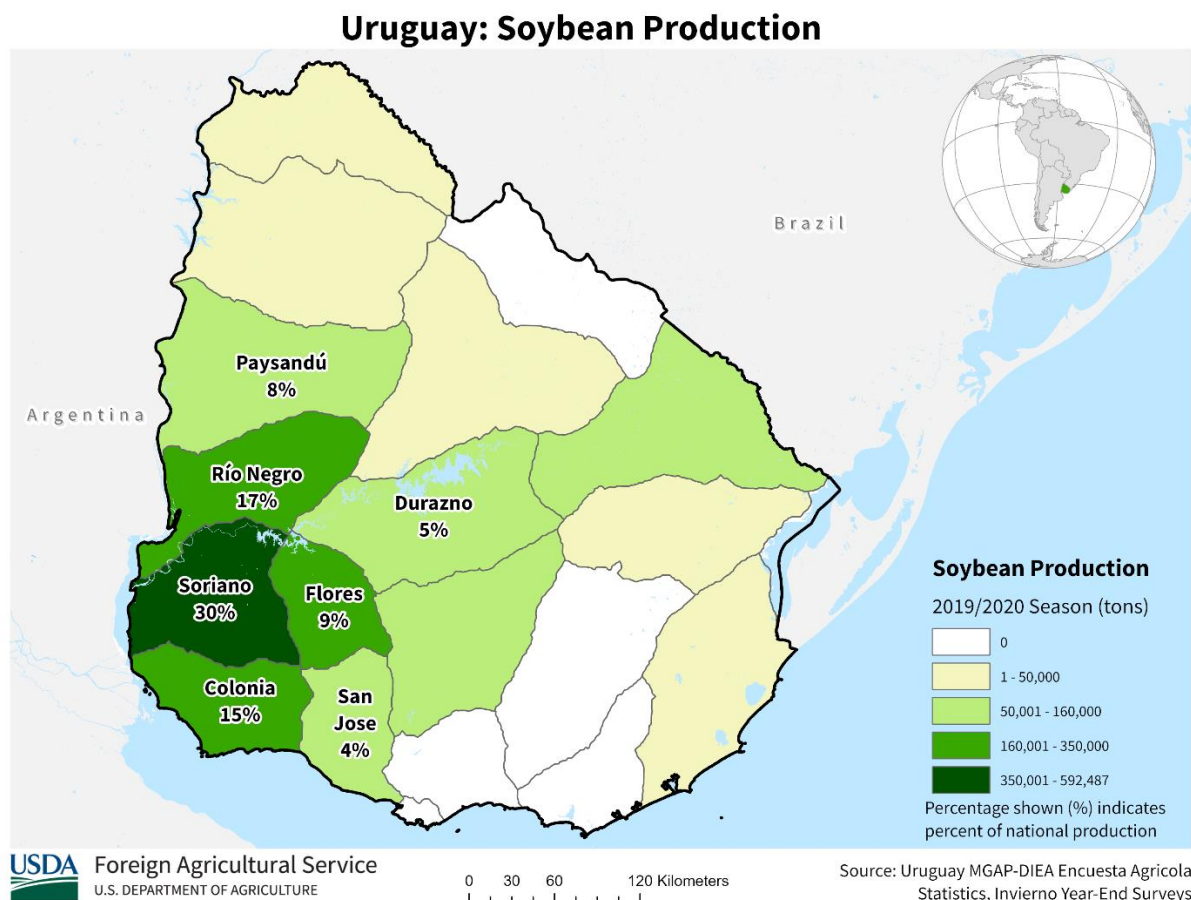
Source: FAS Buenos Aires

While soy planting is expected to dip slightly, a significant decline is unlikely. Many producers remain encouraged by the record yields of MY2024/25 and view soy as a lower-risk option. Soybeans are widely regarded as the most manageable summer crop in Uruguay, requiring fewer interventions, less

expensive seed, and consistently strong export demand. These factors contribute to its reputation as a “safe bet,” helping sustain robust planted area despite market and agronomic challenges.

Soybeans remain Uruguay’s dominant summer crop. After a significant expansion in MY2022/23 was thwarted by severe drought, MY2023/24 saw only a modest increase in acreage but strong yields, pushing production to 3.2 MMT. Soy area in MY2024/25 is expected to reach its highest level in nearly a decade.

Figure 2. Uruguay Soybean Production Map by Department



Source: FAS International Production Assessment Division

First-crop soybeans, typically planted in early November, account for 60 to 65 percent of total soybean area and exhibit limited variation from year to year due to their perceived reliability. In MY2025/26, Post forecasts reduced second-crop soy planting due to a decline in winter wheat area, limiting double-cropping opportunities. Yields are projected at 2.4–2.6 tons/HA for early soybeans and 2.0–2.2 tons/HA for late soybeans, both considered strong averages.

Planting for both early and late soybeans was delayed in the current year due to excess rainfall, which also postponed the winter grain harvest and subsequent second-crop soy planting. Uruguay's geography further constrains expansion potential; much of the country's arable land is better suited for cattle grazing than for row crops. Grain and oilseed production is concentrated in the western corridor—particularly the departments of Soriano, Río Negro, and Colonia—where soils are more fertile and closer to export infrastructure along the Uruguay River.

Crop expansion in the early 2000s was fueled by high commodity prices, the adoption of glyphosate-resistant soy, and Argentine investment. However, declining prices in the mid-2010s led to a reversion of land back to pasture, especially as Argentine-owned operations downsized. This shift opened opportunities for local producers, many of whom operate diversified crop-livestock systems. A rebound in prices beginning in MY2019/20 brought land back into soybean production, but further expansion now appears constrained by the availability of suitable land and continued strong competition from livestock.

Uruguayan law requires producers farming more than 50 hectares to submit soil management and crop rotation plans aimed at preventing degradation and overuse. This regulation, established to promote long-term soil health, discourages continuous soybean planting and adds complexity to expansion.

Economically, producers face continued pressure from low global soy prices and persistently high input costs. Uruguay's production costs are higher than in neighboring countries, and the country exports nearly all of its soybeans, making producers highly exposed to international price fluctuations. As of now, planted area in MY2025/26 will ultimately depend on market signals at harvest and in the months leading up to planting.

Approximately 70 percent of Uruguay's soybeans are grown on rented land. Landlords continue to command high rents despite falling commodity prices, limiting profitability and expansion potential. Unlike the previous boom, the current political and economic climate has not triggered a significant influx of Argentine capital or migration, and the land rental market remains tight.

Weed resistance, particularly to amaranth, remains a growing challenge and further contributes to production costs despite compliance with rotational practices. Should prices fall further, some producers, especially those with mixed operations, may revert land back to pasture, reinforcing the sector's inherent flexibility.

MY2024/25

Post forecasts soybean production in Uruguay for marketing year (MY) 2024/25 at 3.3 million metric tons (MMT), the highest output in eight years and among the top harvests on record. While this figure represents a downward revision from earlier Post estimates, it reflects both a larger-than-anticipated planted area and unexpectedly strong yields.

Despite prolonged periods of drought and excessive heat from late December through early February, the outlook improved markedly following the arrival of substantial rainfall in early February. These

timely rains persisted throughout the critical stages of the growing season, revitalizing crop conditions and enabling impressive yield recovery across much of the soybean-growing region. The result is a robust harvest that significantly outperformed expectations and underscores the crop's resilience under fluctuating weather conditions.

Figure 3. Soybeans in Soriano Department



Source: FAS Buenos Aires

Consumption and Crush

Post forecasts soybean crush in Uruguay at 170,000 metric tons (MT) in marketing year (MY) 2025/26, a slight increase over the previous year. The increase is attributed to higher carry-in stocks and stable global soybean prices, which provide minimal incentive for expanded export sales or domestic price volatility.

Uruguay's soybean crush industry remains modest, reflecting the country's small domestic market and the relatively recent development of its soybean sector over the past two decades. Uruguay primarily exports whole soybeans, benefiting from its proximity to major crushing and export hubs in neighboring Argentina and Brazil.

The country's only large-scale industrial crusher is operated by COUSA and located near Montevideo. The facility was originally constructed to meet demand created by Uruguay's 2007 biofuel law, which mandated a five percent biodiesel blend in diesel fuel. Under this framework, the plant held a supply contract with the state-owned biofuel company ALUR to process domestically produced soybean oil for biodiesel. However, since the repeal of the biofuel blending mandate in 2021, the plant has operated significantly below its nameplate capacity of 250,000 MT.

With the elimination of mandated blending, COUSA has shifted a growing share of its processing capacity toward other oilseeds, notably sunflower and canola. Smaller-scale processors also operate in the country, primarily using mechanical pressure sieves rather than solvent extraction. These facilities focus on limited domestic production of soybean meal and oil, supplying niche markets but lacking the scale to significantly influence national consumption or trade balances.

There are currently no plans or expectations for expanded soybean processing capacity in Uruguay. The elimination of the biodiesel mandate significantly reduced the economic rationale for domestic crushing. Nevertheless, the biofuel law allows ALUR to blend up to 2.5 percent biodiesel if export options are unavailable, though volumes remain far below prior levels. Before the policy change, Uruguay consumed approximately 50,000 liters of domestically produced biodiesel annually.

Domestic soybean consumption remains minimal and is primarily limited to seed use. Uruguay does not typically maintain large carryover stocks, as most production is exported shortly after harvest. Stocks that are held are primarily managed by large exporters rather than on-farm storage.

Trade

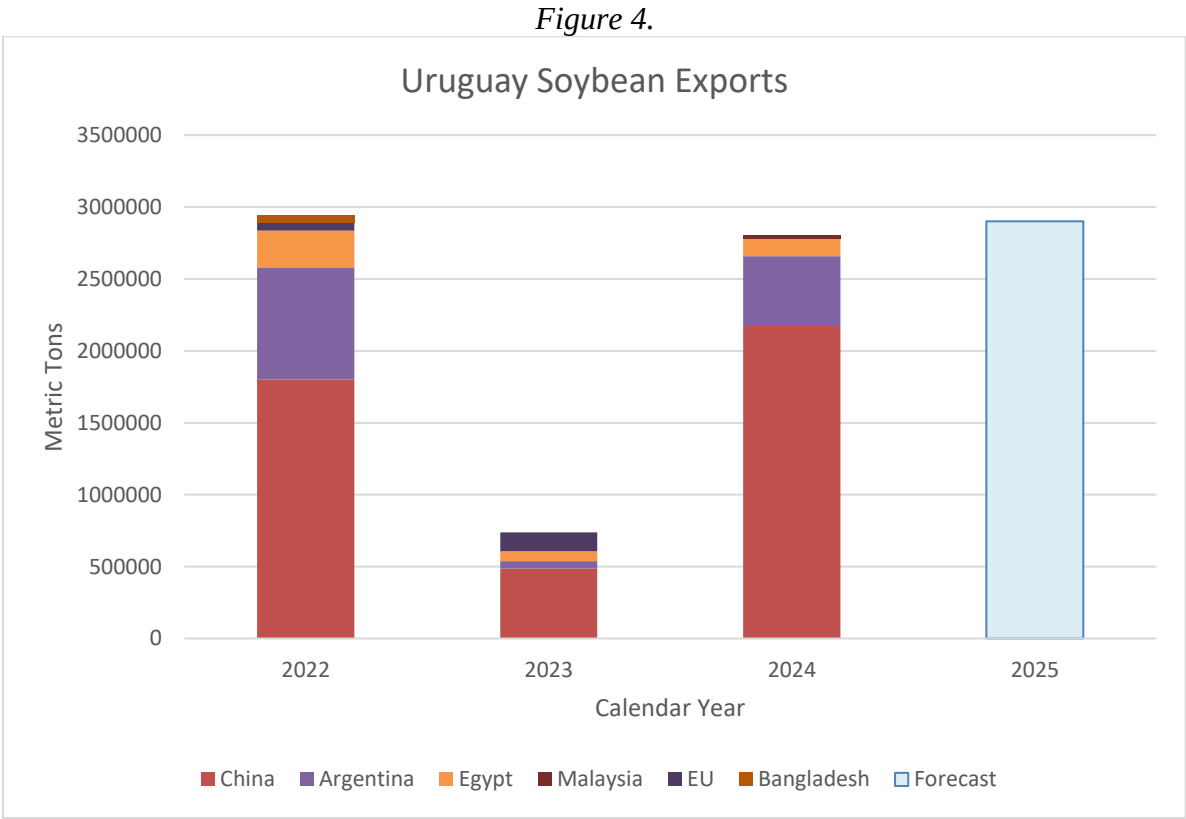
Post forecasts soybean exports from Uruguay at 2.9 million metric tons (MMT) in marketing year (MY) 2025/26, a decline of 100,000 MT from the previous year. The decrease is attributed to slightly lower production and an uptick in domestic crushing. Soymeal exports are forecast to remain steady at 5,000 MT, down marginally from MY2024/25.

China remained the dominant destination for Uruguayan soybeans in calendar year 2024, absorbing nearly 80 percent of total exports. China's preference for whole soybean imports, to be crushed domestically, continues to drive this trade. Despite previous phytosanitary concerns—including the presence of prohibited weed seeds—both governments have maintained bilateral export protocols. Uruguayan exporters have improved compliance with Chinese phytosanitary requirements, reducing rejection rates through better on-farm management and supply chain practices. In 2021, Uruguay's Ministry of Livestock, Agriculture, and Fisheries released a best practices guide to help producers avoid contamination by nine weed species banned in China.

While China remains the primary buyer, other markets have gained importance. Argentina surged to become Uruguay's second-largest export market in 2024, with soybean exports to Argentina rising more than 800 percent year-over-year—the second highest on record. These flows were driven by Argentina's substantial crushing capacity and a period of low domestic soybean sales, as Argentine producers delayed marketing their crop in anticipation of changes to export taxes, exchange rate movements, or more favorable prices. In MY2025/26, exports to Argentina are expected to normalize as Argentine farmer selling patterns stabilize.

Additional export growth is expected in markets such as Egypt, Malaysia, and the European Union. Egypt, a historically important but inconsistent buyer, re-emerged as Uruguay's third-largest market in 2024, though accounting for only four percent of total exports. Egyptian traders have expressed renewed interest in Uruguayan soybeans, potentially replacing Brazilian imports due to improved pricing and availability.

Uruguayan trade statistics often list Uruguay as the top destination for its own soybean exports. This occurs when soybeans are delivered to bonded warehouses in duty-free zones prior to final export. To more accurately assess final destinations, Post relies on trade flow data compiled by Agrosud, a local grain brokerage that aggregates customs records, Urunet data, and private commercial information. Figure 4 illustrates Uruguay’s soybean export volumes and destinations over the past three calendar years, along with Post’s projections for 2025.



Source: FAS Buenos Aires Using with Agrosud Data

One structural limitation for Uruguayan soybeans in international markets is the national standard of 14 percent moisture content—higher than preferred by most major importers, including China. The Grain Merchants Association (ACG) is actively advocating for a reduction in the national moisture standard to 13.5 percent or lower. Lowering the standard could enhance Uruguay’s export competitiveness, particularly in Asia, and open additional premium markets.

Approximately 70 percent of Uruguay’s soybean exports are shipped through Nueva Palmira, a key port on the Uruguay River that benefits from deep-draft capacity and proximity to major growing regions. The remaining 30 percent are exported via the Port of Montevideo, which primarily serves as a transfer point for vessels partially loaded on the Parana River system. Montevideo’s share of exports could increase with improvements in port logistics and infrastructure investment.

SOY MEAL and SOY OIL

Uruguay’s soybean processing industry remains limited in scale, especially in comparison to neighboring Argentina, Brazil, and even Paraguay. As a result, the country produces modest volumes of soymeal and soybean oil mostly for domestic consumption, which itself is relatively small. Uruguay is a net importer of both products and remains heavily dependent on imports to meet domestic demand. The sector is highly sensitive to weather variability and global commodity price shifts due to the small planted area and constrained crush capacity.

Production

Post forecasts soybean crush in marketing year (MY) 2025/26 at 170,000 metric tons (MT), yielding approximately 135,000 MT of soymeal and 30,000 MT of soybean oil. Despite this modest increase from the previous year, Uruguay’s crush represents less than 10 percent of national soybean production. The country’s processing infrastructure remains limited, with a single major industrial crushing facility located in Paysandú accounting for the majority of volume. No additional capacity expansions or new facility constructions are currently planned.

Consumption

Domestic soymeal consumption is minimal, reflecting the structure of Uruguay’s livestock industry, which is dominated by pasture-based beef production. The dairy, poultry, and swine sectors are the primary consumers of soymeal, but growth in demand is expected to be flat in MY2025/26. The poultry sector has shown modest expansion in recent years, accompanied by an increase in broiler slaughter and a more professionalized feed industry. The dairy industry, which had been impacted by low global milk powder prices and drought-induced reductions in pasture productivity, is expected to stabilize and potentially rebound in the coming year.

Soybean oil consumption is similarly modest, with household and food industry demand only partially met by domestic production. Imports continue to bridge the supply gap. Total annual soybean oil consumption is projected to remain stable, with any fluctuations driven primarily by global price trends and import availability rather than changes in underlying demand.

Trade

Figure 5.

Uruguay Soy Complex Trade						
	Imports			Exports		
	Metric Tons	Change from 2023	Top Market	Metric Tons	Change from 2023	Top Market
Soybeans	8,994	-74%	Argentina	2,731,308	+252%	China
Soymeal	168,289	-27%	Argentina	6,589	+100%	Chile
Soy Oil	2,895	-33%	Brazil	8,233	+2%	Bangladesh

Source: FAS Buenos Aires with TDM, Inc. and Industry Sources Data

Due to its limited domestic crush capacity, Uruguay exports the vast majority of its soybean production as whole beans, while importing substantial volumes of soymeal and soybean oil to satisfy domestic feed and food requirements. In MY2025/26, imports are expected to account for nearly 60 percent of soymeal consumption, sourced primarily from Argentina and Paraguay. Imported soymeal is utilized mainly in the dairy, poultry, and swine industries.

Uruguay does export small quantities of processed soy products, primarily to regional markets. In calendar year 2024, Uruguay exported approximately 200,000 MT of soymeal and 40,000 MT of soybean oil, with Brazil and Chile being the primary destinations. These export volumes are closely tied to domestic processing capacity and fluctuate based on local crush levels. Since the opening of the Paysandú plant in 2014, imports of both soymeal and soy oil have declined, but Uruguay continues to rely on external sources to meet total demand.

Further expansion of soymeal and soybean oil exports is constrained by Uruguay's limited processing infrastructure and the highly competitive regional crush industry, particularly in Argentina. There are currently no government subsidies, tariffs, or regulatory mechanisms specific to soybean oil or meal that would either promote or restrict trade.

Production, Supply, and Demand Statistical Tables

Oilseed, Soybean Market Year Begins	2023/2024		2024/2025		2025/2026	
	Apr 2024		Apr 2025		Apr 2026	
Uruguay	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	1313	1313	1300	1350	0	1300
Area Harvested (1000 HA)	1313	1313	1300	1345	0	1300
Beginning Stocks (1000 MT)	99	99	212	212	0	252
Production (1000 MT)	3293	3293	3100	3300	0	3100
MY Imports (1000 MT)	20	20	10	0	0	20
Total Supply (1000 MT)	3412	3412	3322	3512	0	3372
MY Exports (1000 MT)	2950	2950	2800	3000	0	2900
Crush (1000 MT)	100	100	100	150	0	170
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	150	150	150	110	0	110
Total Dom. Cons. (1000 MT)	250	250	250	260	0	280
Ending Stocks (1000 MT)	212	212	272	252	0	192
Total Distribution (1000 MT)	3412	3412	3322	3512	0	3372
Yield (MT/HA)	2.508	2.508	2.3846	2.4535	0	2.3846
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments